Sovereign Infrastructure for the Persian Diaspora

A Dual-Layer Architecture for Censorship-Resistant Communication, Finance, and Identity

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Version 1.0 — February 2026

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Abstract

The Iranian diaspora—estimated at over eight million individuals across more than forty countries—faces a unique convergence of challenges: financial exclusion through international sanctions regimes, surveillance by state actors in both origin and host countries, and fragmentation of cultural and economic networks across jurisdictions with incompatible regulatory frameworks. Existing blockchain and communication platforms address these concerns partially but fail to provide the integrated, coercion-resistant infrastructure that this community requires.

We present **Pars Network**, a dual-layer architecture combining an EVM-compatible settlement layer with a session-based privacy daemon. The settlement layer provides programmable finance with post-quantum cryptographic commitments, stealth addresses, and zero-knowledge identity proofs. The session layer provides censorship-resistant mesh networking with traffic obfuscation, plausible deniability, and sealed-sender messaging. Together, these layers enable sovereign financial participation, private communication, and self-sovereign identity without reliance on centralized intermediaries or single points of failure.

This paper presents the complete technical architecture, threat model, token economics, governance framework, and formal security analysis of the Pars Network. We demonstrate that the system achieves $(1 - \epsilon)$-coercion resistance under adaptive adversaries controlling up to one-third of network participants, maintains sub-second message delivery across the mesh overlay, and provides transaction finality within 2 seconds on the settlement layer.

1 Introduction

1.1 The Diaspora Challenge

The Persian diaspora represents one of the largest and most geographically dispersed displaced communities in the modern world. According to estimates from the Iranian Studies Group at MIT and demographic data from UNHCR, approximately 8.3 million individuals of Iranian descent reside outside Iran's borders, with significant concentrations in the United States (1.5M), Germany (300K), Canada (400K), United Kingdom (250K), Turkey (200K), and the United Arab Emirates (500K) [1, 2].

This community faces a distinctive intersection of adversarial conditions:

1. **Financial Exclusion**: International sanctions regimes—particularly OFAC (Office of Foreign Assets Control) designations and EU restrictive measures—create systematic barriers to banking, remittances, and participation in global financial systems [3].

2. **Dual-State Surveillance**: Members face monitoring by Iranian intelligence services (VAJA/MOIS) even abroad, while also subject to surveillance by host country agencies under counter-terrorism and counter-intelligence mandates [4].

3. **Jurisdictional Fragmentation**: The community spans dozens of legal jurisdictions with incompatible identity, financial, and communication regulations, preventing unified digital infrastructure.

4. **Cultural Preservation**: Language, cultural practices, and community bonds require digital spaces that respect Persian linguistic and cultural norms while remaining accessible across borders.

1.2 Limitations of Existing Solutions

Current technological approaches address these challenges only partially:

Cryptocurrency networks (Bitcoin, Ethereum) provide censorship-resistant value transfer but lack privacy guarantees suitable for high-risk users. On-chain analysis firms like Chainalysis and Elliptic routinely de-anonymize transactions, and compliance-driven exchanges enforce KYC requirements that exclude sanctioned populations [5].

Privacy-focused blockchains (Zcash, Monero) improve financial privacy but offer no communication infrastructure and face increasing regulatory hostility, with multiple exchanges delisting privacy coins under FATF travel rule pressure [6].

Encrypted messengers (Signal, WhatsApp) provide strong end-to-end encryption

but depend on centralized infrastructure vulnerable to state-level blocking (Iran has blocked Signal, Telegram, and WhatsApp at various times) and do not integrate financial capabilities [7].

Mesh networks (Briar, Bridgefy) offer censorship resistance but lack the cryptographic sophistication needed for financial transactions and struggle with scalability beyond local networks.

1.3 Pars Network: An Integrated Approach

Pars Network addresses these limitations through a dual-layer architecture:

Definition 1.1 (Pars Network)**.** *A sovereign digital infrastructure consisting of:*

1. *A **Settlement Layer** ($\mathcal{L}_S$): An EVM-compatible Layer 2 rollup providing programmable finance with post-quantum security, stealth addresses, and zero-knowledge identity verification.*
2. *A **Session Layer** ($\mathcal{L}_P$): A privacy-preserving communication daemon providing encrypted messaging, mesh networking, traffic obfuscation, and plausible deniability.*
3. *An **Identity Layer** ($\mathcal{I}$): A zero-knowledge credential system enabling selective attribute disclosure without revealing underlying identity.*

These layers interact through cryptographic bridges that preserve privacy guarantees across layer boundaries. The key design principles are:

- **Coercion Resistance**: The system must remain secure even when an adversary can compel a user to reveal credentials or cooperate under duress.
- **Post-Quantum Security**: All long-term cryptographic commitments must resist attacks from quantum computers.
- **Mesh-First Connectivity**: The network must function even when conventional internet infrastructure is unavailable or censored.
- **Diaspora-Native Governance**: Protocol governance must reflect the distributed, multi-jurisdictional nature of the community.

1.4 Contributions

This paper makes the following contributions:

1. We present the first integrated dual-layer architecture combining EVM-compatible programmable finance with session-based privacy communication, designed for diaspora communities under adversarial conditions (Section 3).
2. We introduce a novel post-quantum stealth address scheme compatible with EVM execution, achieving $O(\log n)$ scanning complexity (Section 4).
3. We formalize a coercion-resistance model for blockchain systems and prove that Pars achieves $(1 - \epsilon)$-resistance under adaptive adversaries (Section 6).
4. We design a mesh networking protocol with traffic obfuscation that resists deep packet inspection by state-level adversaries (Section 5).
5. We present a diaspora-native governance framework with quadratic voting, geographic representation, and anti-capture mechanisms (Section 7).
6. We define the PARS token economics including staking, fee distribution, and community treasury mechanisms (Section 8).

1.5 Paper Organization

The remainder of this paper is organized as follows. Section 2 reviews relevant background on blockchain privacy, mesh networking, and post-quantum cryptography. Section 3 presents the dual-layer architecture in detail. Section 4 describes the cryptographic primitives and protocols. Section 5 details the mesh networking layer. Section 6 provides formal security analysis. Section 7 describes the governance framework. Section 8 presents token economics. Section 9 discusses implementation status and performance. Section 10

presents evaluation results. Section 11 surveys related work. Section 12 concludes.

2 Background

2.1 Blockchain Privacy Techniques

The evolution of blockchain privacy can be characterized by three generations of techniques:

First Generation: Mixing Services. CoinJoin [8] and centralized mixers provide transaction unlinkability through input/output shuffling. These approaches suffer from trust assumptions (centralized mixers) or limited anonymity sets (CoinJoin with small participant groups).

Second Generation: Cryptographic Privacy. Zcash's zk-SNARKs [9] and Monero's ring signatures [10] provide cryptographic privacy guarantees. Zcash achieves strong sender/receiver/amount privacy through zero-knowledge proofs but requires a trusted setup ceremony. Monero provides plausible deniability through ring signatures but faces scalability challenges as ring sizes increase.

Third Generation: Programmable Privacy. Systems like Tornado Cash [11], Aztec [12], and Aleo [13] bring privacy to programmable platforms. However, Tornado Cash's OFAC sanctioning in 2022 demonstrated the vulnerability of smart-contract-based privacy to regulatory action [14].

Pars Network builds on third-generation techniques while incorporating post-quantum security and coercion resistance that previous systems lack.

2.2 Post-Quantum Cryptography

NIST's Post-Quantum Cryptography standardization process (2016–2024) selected three primary algorithms [15]:

- **CRYSTALS-Kyber** (ML-KEM): Lattice-based key encapsulation mechanism based on the Module Learning With Errors (MLWE) problem.
- **CRYSTALS-Dilithium** (ML-DSA): Lattice-based digital signature scheme based on the Module Short Integer Solution (MSIS) problem.
- **SPHINCS+** (SLH-DSA): Hash-based digital signature scheme providing conservative security assumptions.

These algorithms provide security against both classical and quantum adversaries. Pars Network employs hybrid schemes combining classical elliptic-curve cryptography with post-quantum algorithms to ensure backward compatibility and defense-in-depth.

2.3 Mesh Networking and Censorship Resistance

Censorship-resistant networking draws on several traditions:

Onion Routing: Tor [16] provides anonymity through layered encryption and relay circuits. However, Tor is vulnerable to traffic analysis by adversaries controlling entry and exit nodes, and its reliance on a centralized directory authority creates a single point of failure.

Peer-to-Peer Overlays: libp2p [17] and I2P [18] provide decentralized networking primitives. These systems offer stronger censorship resistance but typically sacrifice latency and throughput.

Pluggable Transports: The Tor Project's pluggable transport framework [19] enables traffic obfuscation to evade deep packet inspection (DPI). Protocols like obfs4 [20] and Snowflake [21] disguise Tor traffic as innocuous HTTPS or WebRTC streams.

Pars Network's mesh layer combines these approaches with novel traffic obfuscation techniques optimized for the specific DPI capabilities deployed in Iran and allied censorship regimes.

2.4 Coercion Resistance in Cryptographic Systems

Coercion resistance was first formalized in the context of electronic voting by Juels, Catalano, and Jakobsson [22]. A system is coercion-resistant if a coerced user can comply with the coercer's demands while the system produces a result reflecting the user's true intent.

In the blockchain context, coercion resistance requires:

1. **Duress Wallets**: The ability to present a plausible alternative wallet under compulsion.

2. **Deniable Encryption**: The ability to decrypt a ciphertext to a plausible alternative plaintext.

3. **Undetectable Transactions**: The inability for a coercer to determine whether a specific transaction was executed.

3 Architecture

3.1 System Overview

The Pars Network architecture consists of two primary layers connected by cryptographic bridges:

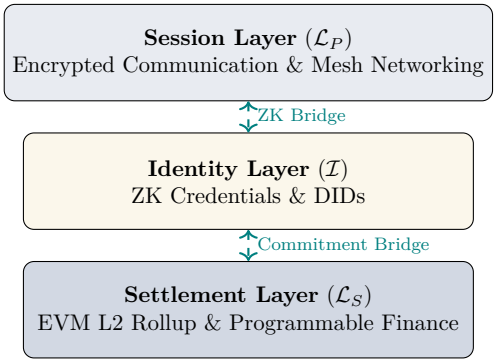

Figure 1: Pars Network dual-layer architecture overview.

3.2 Settlement Layer ($\mathcal{L}_S$)

The settlement layer is an EVM-compatible Layer 2 optimistic rollup anchored to Ethereum mainnet. It provides:

1. **Programmable Finance**: Full EVM compatibility enables deployment of DeFi protocols, stablecoins, and custom financial instruments.

2. **Post-Quantum Commitments**: All state commitments use hybrid classical/PQ hash functions (SHA-3 + SPHINCS+).

3. **Stealth Addresses**: A novel lattice-based stealth address protocol enables private transaction receipt.

4. **Shielded Transactions**: Zero-knowledge proofs enable private value transfer with selective compliance disclosure.

3.2.1 Rollup Architecture

The settlement layer employs an optimistic rollup design with the following modifications:

Definition 3.1 (Pars Rollup)**.** *Let $\mathcal{S} = (S_0, S_1, \ldots, S_n)$ be a sequence of states where each transition $S_i \to S_{i+1}$ is witnessed by a batch of transactions B_i. The rollup operates as follows:*

1. ***Sequencer*** *($\mathcal{Q}$): Collects transactions, orders them, and produces state roots.*

2. ***Validators*** *($\mathcal{V}$): Verify state transitions and submit fraud proofs during challenge periods.*

3. ***Data Availability****: Transaction data is posted to Ethereum calldata (with EIP-4844 blob support).*

The sequencer role is decentralized through a rotating committee selected by stake-weighted randomness (using VRF outputs). This prevents single-sequencer censorship, which is critical for a diaspora network where any centralized operator could be compelled to censor transactions.

3.2.2 EVM Precompiles for Post-Quantum Operations

Pars extends the EVM with custom precompiles at addresses `0x0100`–`0x010F`:

Table 1: Pars EVM precompiles for post-quantum and privacy operations.

Address	Operation	Gas
`0x0100`	Dilithium Verify	15,000
`0x0101`	Kyber Encapsulate	12,000
`0x0102`	Kyber Decapsulate	12,000
`0x0103`	SPHINCS+ Verify	45,000
`0x0104`	Groth16 Verify	200,000
`0x0105`	PLONK Verify	180,000
`0x0106`	Stealth Address Derive	8,000
`0x0107`	Pedersen Commit	5,000
`0x0108`	Poseidon Hash	3,000
`0x0109`	BLS12-381 Pairing	120,000

3.2.3 Transaction Types

The settlement layer supports four transaction types:

1. **Type 0 (Standard)**: EVM-compatible transactions with optional post-quantum signatures.
2. **Type 1 (Shielded)**: Zero-knowledge transactions hiding sender, receiver, and amount behind Groth16 proofs.
3. **Type 2 (Stealth)**: Transactions to stealth addresses with lattice-based key derivation.
4. **Type 3 (Coercion-Resistant)**: Transactions with built-in duress detection and time-locked recovery.

3.3 Session Layer ($\mathcal{L}_P$)

The session layer provides encrypted communication with the following properties:

Definition 3.2 (Session Layer Properties)**.** *The session layer $\mathcal{L}_P$ provides:*

1. ***Forward Secrecy**: Compromise of long-term keys does not reveal past session contents.*
2. ***Post-Compromise Security**: Sessions recover security after temporary key compromise.*
3. ***Sealed Sender**: Message recipients cannot determine the sender's network identity.*
4. ***Plausible Deniability**: No cryptographic proof that a specific message was sent by a specific party.*
5. ***Mesh Delivery**: Messages route through a peer-to-peer overlay without centralized servers.*

3.3.1 Protocol Stack

The session layer protocol stack consists of:

1. **Transport**: Noise Protocol Framework [23] with hybrid PQ key exchange (X25519 + Kyber-768).
2. **Ratchet**: Double Ratchet protocol [24] with PQ-enhanced header encryption.
3. **Group**: Sender Keys with tree-based key distribution (MLS-inspired [25]).
4. **Delivery**: Store-and-forward with onion-routed delivery through mesh overlay.

3.3.2 Mesh Overlay

The mesh overlay uses a modified Kademlia DHT [26] for peer discovery with the following enhancements:

- **Sybil Resistance**: Peer IDs are derived from proof-of-stake bonds on the settlement layer, preventing Sybil attacks.
- **Traffic Obfuscation**: All inter-peer traffic is disguised as HTTPS to CDN endpoints using domain fronting or encrypted client hello (ECH).
- **Churn Resistance**: Redundant routing paths ensure message delivery even with high node churn rates typical of mobile mesh participants.

3.4 Identity Layer ($\mathcal{I}$)

The identity layer provides zero-knowledge identity proofs:

Definition 3.3 (Pars Identity)**.** *A Pars identity $\mathcal{I}_u$ for user u consists of:*

1. *A **DID** (Decentralized Identifier): did:pars:⟨method-specific-id⟩ anchored on the settlement layer.*
2. *A set of **Verifiable Credentials**: $\{VC_1, VC_2, \ldots, VC_k\}$ issued by trusted attestors.*
3. *A **ZK Proving Key**: Enabling selective disclosure of credential attributes without revealing the credential itself.*

The identity layer supports the following operations:

- **Attribute Proofs**: Prove membership in a set (e.g., "I am over 18") without revealing the specific attribute.

- **Credential Delegation**: Issue derived credentials with reduced privilege scopes.
- **Revocation**: Privacy-preserving credential revocation using sparse Merkle trees.
- **Recovery**: Social recovery of identity through guardian-based threshold schemes.

3.5 Inter-Layer Communication

The layers communicate through two bridges:

ZK Bridge ($\mathcal{L}_P \leftrightarrow \mathcal{I}$): The session layer can request identity proofs from the identity layer without revealing which session is associated with which identity. This is achieved through blind credential presentation: the session daemon generates a blinded request, the identity layer produces a blinded proof, and the session daemon unblinds locally.

Commitment Bridge ($\mathcal{I} \leftrightarrow \mathcal{L}_S$): The identity layer anchors credential roots on the settlement layer through Merkle commitments. Credential verification requires only a Merkle inclusion proof against the on-chain root, enabling efficient on-chain identity checks without revealing credential contents.

4 Cryptographic Primitives

4.1 Hybrid Key Exchange

Pars employs a hybrid key exchange combining X25519 with Kyber-768:

Algorithm 1 Pars Hybrid Key Exchange

Require: Alice's keypairs (sk_A^{ec}, pk_A^{ec}), (sk_A^{pq}, pk_A^{pq})
Require: Bob's keypairs (sk_B^{ec}, pk_B^{ec}), (sk_B^{pq}, pk_B^{pq})

```
ss_ec ← X25519(sk_A^ec, pk_B^ec)
(ct, ss_pq) ← Kyber.Encaps(pk_B^pq)
ss ← HKDF(ss_ec || ss_pq, "pars-hybrid-v1")
return (ss, ct)
```

Theorem 4.1 (Hybrid Security)**.** *The hybrid key exchange is IND-CCA2 secure if either X25519 (under the CDH assumption) or Kyber-768 (under the MLWE assumption) is IND-CCA2 secure.*

Proof. By a standard hybrid argument. Suppose adversary $\mathcal{A}$ breaks the hybrid scheme with advantage ϵ. We construct adversaries $\mathcal{A}_{ec}$ and $\mathcal{A}_{pq}$ such that:

$$\epsilon \leq \mathrm{Adv}^{\text{IND-CCA2}}_{\text{X25519}}(\mathcal{A}_{ec}) + \mathrm{Adv}^{\text{IND-CCA2}}_{\text{Kyber}}(\mathcal{A}_{pq})$$

If both advantages are negligible, then ϵ is negligible. If either scheme is secure, then the corresponding advantage dominates and the hybrid remains secure through the remaining scheme's security. □

4.2 Stealth Address Protocol

We introduce a lattice-based stealth address protocol:

Definition 4.2 (Pars Stealth Address)**.** *Let $\mathbb{G}$ be an elliptic curve group of order q and $R_q = \mathbb{Z}_q[X]/(X^n + 1)$ be the ring used by Kyber. A stealth address system consists of:*

- *KeyGen() $\rightarrow (sk, pk) = ((s, v, \mathbf{s}_{pq}), (S, V, \mathbf{pk}_{pq}))$ where $S = sG$, $V = vG$ are EC points and $\mathbf{pk}_{pq}$ is a Kyber public key.*
- *Send(pk) $\rightarrow (P, R, ct)$ where P is the one-time address, R is the ephemeral public key, and ct is the Kyber ciphertext.*
- *Receive(sk, R, ct) $\rightarrow sk_P$ the one-time secret key corresponding to P.*

The protocol operates as follows:

1. **Sender** generates ephemeral key $r \xleftarrow{\$} \mathbb{Z}_q$, computes $R = rG$.
2. **Sender** computes $ss_{ec} = \mathrm{H}(rV)$ and $(ct, ss_{pq}) = \mathrm{Kyber.Encaps}(\mathbf{pk}_{pq})$.
3. **Sender** derives $ss = \mathrm{HKDF}(ss_{ec} \| ss_{pq})$ and computes $P = \mathrm{H}(ss)G + S$.
4. **Receiver** scans by computing $ss_{ec} = \mathrm{H}(vR)$ and $ss_{pq} = \mathrm{Kyber.Decaps}(ct, \mathbf{s}_{pq})$.
5. **Receiver** derives $ss = \mathrm{HKDF}(ss_{ec} \| ss_{pq})$ and verifies $P = \mathrm{H}(ss)G + S$.
6. **Receiver** recovers $sk_P = \mathrm{H}(ss) + s$.

4.3 Zero-Knowledge Circuits

Pars employs Groth16 [27] ZK-SNARK circuits for:

1. **Shielded Transfers**: Prove that a transaction preserves balance invariants without revealing amounts.
2. **Identity Proofs**: Prove credential attributes (age, nationality, membership) without revealing credentials.
3. **Stealth Scanning**: Accelerate stealth address scanning through batched ZK verification.

The shielded transfer circuit verifies:

$$\mathrm{Comm}(v_{in}, r_{in}) \in \mathrm{MerkleTree}(\mathrm{commitments}) \tag{1}$$

$$\mathrm{Comm}(v_{out,1}, r_{out,1}) + \mathrm{Comm}(v_{out,2}, r_{out,2}) = \mathrm{Comm}(v_{in}, r_{in}) + \mathrm{Comm}(\mathrm{fee}, r_f) \tag{2}$$

$$v_{out,1}, v_{out,2} \geq 0 \tag{3}$$

where Equation (1) proves the input exists, Equation (2) proves balance conservation, and Equation (3) prevents negative amounts.

4.4 Coercion-Resistant Key Management

Definition 4.3 (Duress Wallet)**.** *A duress wallet system $\mathcal{D}$ provides:*

1. *A **primary wallet** W_p with passphrase π_p containing the user's true assets.*
2. *A **duress wallet** W_d with passphrase π_d containing a plausible decoy balance.*
3. *The property that W_p and W_d are computationally indistinguishable given only one passphrase.*

The duress wallet is derived from the same seed using a domain-separated KDF:

$$sk_p = \mathrm{KDF}(\mathrm{seed}, \pi_p, \text{“pars-primary”}) \tag{4}$$

$$sk_d = \mathrm{KDF}(\mathrm{seed}, \pi_d, \text{“pars-duress”}) \tag{5}$$

Under compulsion, the user reveals π_d, and the adversary obtains W_d with its decoy balance. The existence of W_p is computationally hidden.

Theorem 4.4 (Duress Indistinguishability)**.** *Under the random oracle model, no PPT adversary given (W_d, π_d) can distinguish whether an additional wallet W_p exists with advantage greater than negl(λ).*

5 Mesh Networking

5.1 Overlay Network Design

The Pars mesh overlay is a structured peer-to-peer network built on modified Kademlia with the following layers:

1. **Transport Layer**: Noise-IK handshakes over obfuscated TCP/QUIC connections.
2. **Routing Layer**: Kademlia DHT with stake-weighted peer selection and geographic diversity requirements.
3. **Relay Layer**: Onion-routed message forwarding with 3-hop circuits.
4. **Storage Layer**: Distributed hash table for offline message queuing.

5.2 Traffic Obfuscation

To resist deep packet inspection (DPI) deployed by state-level adversaries, Pars implements multiple obfuscation strategies:

Protocol Mimicry: Pars traffic is encapsulated in TLS 1.3 with Encrypted Client Hello (ECH), making it indistinguishable from HTTPS traffic to content delivery networks. The ECH outer SNI points to a legitimate CDN domain, while the inner SNI identifies the Pars relay.

Traffic Shaping: All connections maintain constant-rate padding to prevent traffic analysis based on message timing or volume. Cover traffic is generated to match the statistical profile of streaming video or social media browsing.

Bridge Relays: For users behind aggressive firewalls (e.g., Iran's National Information Network), Pars operates bridge relays that are not listed in any public directory. Bridge addresses are distributed through out-of-band channels including:

- Steganographic encoding in social media posts

- QR codes shared in encrypted messaging groups
- Domain fronting through popular cloud services
- Satellite-based distribution (planned)

5.3 Peer Discovery

Peer discovery uses a multi-strategy approach:

Algorithm 2 Pars Peer Discovery

Require: Local node n with peer ID id_n
peers $\leftarrow \emptyset$ {Strategy 1: DHT bootstrap}
for $b \in$ BootstrapNodes **do**
  peers $\leftarrow$ peers $\cup$ KademliaLookup(b, id_n)
end for{Strategy 2: Local discovery (mDNS/BLE)}
peers $\leftarrow$ peers $\cup$ LocalDiscover() {Strategy 3: Bridge relay}
if $|\text{peers}| < k_{\min}$ **then**
  peers $\leftarrow$ peers $\cup$ BridgeConnect()
end if{Strategy 4: Settlement layer peer registry}
peers $\leftarrow$ peers $\cup$ OnchainPeerList$(\mathcal{L}_S)$
verify stake bonds for all peers in peers
return peers

5.4 NAT Traversal

Pars implements comprehensive NAT traversal:

1. **STUN/TURN**: Standard ICE framework with fallback relays.
2. **Hole Punching**: UDP and TCP simultaneous open for symmetric NAT traversal.
3. **Circuit Relay**: libp2p-style circuit relay v2 for nodes behind restrictive NATs.
4. **QUIC Multiplexing**: Single QUIC connection multiplexes multiple virtual channels, reducing NAT state requirements.

5.5 Mobile Mesh

For mobile devices, Pars optimizes the mesh overlay:

- **Battery-Aware Routing**: Nodes advertise battery level; routing algorithms prefer well-powered nodes for relay duties.
- **WiFi Direct / BLE**: Local mesh formation without internet connectivity for proximity communication.
- **Store-and-Forward**: Messages are queued at relay nodes when recipients are offline, with configurable TTL.
- **Bandwidth Adaptation**: Automatic quality degradation based on available bandwidth.

6 Security Analysis

6.1 Threat Model

We consider the following adversary classes:

Definition 6.1 (Adversary Model)**.** *1.* ***State-Level Adversary*** *($\mathcal{A}_S$): Can monitor all network traffic within a jurisdiction, perform DPI, block IP ranges, and compel service providers to cooperate. Can perform active MITM attacks on non-authenticated connections. Has access to quantum computing resources within 10–15 years.*

2. ***Targeted Adversary*** *($\mathcal{A}_T$): Can target specific individuals with device seizure, compelled credential disclosure, social engineering, and physical surveillance. May have limited network monitoring capability.*

3. ***Network Adversary*** *($\mathcal{A}_N$): Controls up to $f < n/3$ of network nodes. Can deviate from protocol, delay messages, and attempt Sybil attacks.*

4. ***Colluding Adversary*** *($\mathcal{A}_C$): Combination of $\mathcal{A}_S$ and $\mathcal{A}_T$ with shared intelligence.*

6.2 Security Properties

Theorem 6.2 (Coercion Resistance)**.** *Under the random oracle model and the hardness of MLWE, the Pars duress wallet system achieves $(1-\epsilon)$-coercion resistance where:*

$$\epsilon \leq \frac{q_H}{2^\lambda} + Adv^{MLWE}_{n,q,\chi}(\mathcal{A})$$

for security parameter λ, hash query bound q_H, and MLWE parameters (n, q, χ).

Proof sketch. We reduce to MLWE hardness. Suppose adversary $\mathcal{A}$ can distinguish the duress wallet from the primary wallet. We construct $\mathcal{B}$ that uses $\mathcal{A}$ to solve MLWE. $\mathcal{B}$ embeds the MLWE challenge in the KDF output, so distinguishing wallets requires distinguishing MLWE samples from uniform, which contradicts the MLWE assumption. The $q_H/2^\lambda$ term accounts for random oracle collisions. □

Theorem 6.3 (Transaction Privacy)**.** *Shielded transactions (Type 1) achieve computational zero-knowledge: for any PPT verifier V^*, there exists a PPT simulator Sim such that:*

$$\{(x, \mathit{Prove}(x, w))\} \approx_c \{(x, \mathit{Sim}(x))\}$$

where x is the public statement and w is the witness (transaction details).

Theorem 6.4 (Forward Secrecy)**.** *The session layer achieves forward secrecy: compromise of long-term keys at time t does not reveal the contents of sessions established before time t.*

Proof. Each session uses ephemeral Diffie-Hellman keys that are erased after session establishment. The Double Ratchet protocol ensures that each message uses a fresh symmetric key derived from the ratchet state. Compromise of the current ratchet state does not reveal previous ratchet states due to the one-wayness of the KDF chain. □

6.3 Resistance to Traffic Analysis

Proposition 6.5 (Traffic Analysis Resistance)**.** *Under constant-rate padding and k-hop onion routing with $k \geq 3$, the probability that a global passive adversary can link sender to receiver is bounded by:*

$$\Pr[\mathit{link}] \leq \frac{1}{|\mathit{AnonymitySet}|} + \mathit{negl}(\lambda)$$

where $|\mathit{AnonymitySet}|$ is the number of active senders during the mixing window.

6.4 Quantum Resistance Timeline

We model quantum threat evolution and demonstrate that Pars's hybrid approach provides security across the transition:

Table 2: Quantum resistance timeline and Pars security posture.

Period	Threat Level	Pars Security
2026–2030	Pre-quantum	Classical + PQ (defense-in-depth)
2030–2035	Early quantum	PQ primary, classical backup
2035+	Cryptographically relevant QC	Full PQ migration

7 Governance

7.1 Design Principles

Pars governance is designed for a geographically dispersed community with the following constraints:

1. **No Central Authority**: No single entity, jurisdiction, or individual can control or censor the network.
2. **Geographic Representation**: Major diaspora communities must have proportional representation in governance.
3. **Anti-Plutocracy**: Governance power must not be proportional to token holdings alone.
4. **Coercion Resistance**: Governance participation must be resistant to external compulsion.
5. **Gradual Decentralization**: Governance decentralizes over a defined timeline to ensure stability during bootstrap.

7.2 Governance Structure

7.2.1 Pars Improvement Proposals (PIPs)

All protocol changes are proposed through PIPs, which follow a structured lifecycle:

Draft → Review → Vote → Accepted/Rejected → Implemente

PIPs are categorized as:

- **Core**: Changes to consensus, cryptography, or core protocol.
- **Network**: Changes to mesh networking, peer discovery, or transport.
- **Identity**: Changes to DID, credential, or ZK circuits.
- **Economics**: Changes to token economics, fee structures, or treasury.
- **Meta**: Changes to governance process itself.

7.2.2 Quadratic Voting

Pars employs quadratic voting [28] to mitigate plutocratic governance:

Definition 7.1 (Quadratic Vote)**.** *For a proposal p, a voter with n vote credits can cast k votes at a cost of k^2 credits:*

$$Cost(k) = k^2, \quad k \leq \lfloor \sqrt{n} \rfloor$$

This ensures that the cost of additional influence grows quadratically, preventing whales from dominating governance while still allowing stake to influence outcomes.

7.2.3 Geographic Councils

The network is divided into geographic regions based on diaspora concentration:

Table 3: Geographic council allocation.

Region	Coverage	Seats
North America	US, Canada	5
Europe	EU, UK, Turkey	5
Middle East	UAE, Iraq, Afghanistan	3
Asia-Pacific	Australia, East Asia	2
Global	At-large representatives	3

Council members serve 12-month terms and are elected through quadratic voting within their geographic region.

7.3 Treasury Management

The Pars Treasury is funded by:

1. **Protocol Fees**: 10% of settlement layer transaction fees.
2. **Token Allocation**: 15% of initial token supply, vesting over 5 years.
3. **Grants and Donations**: External funding directed to the treasury.

Treasury disbursements require multi-signature approval from the geographic council with a 60% supermajority threshold.

8 Token Economics

8.1 PARS Token

The PARS token serves multiple functions within the network:

1. **Gas**: Settlement layer transaction fees are paid in PARS.
2. **Staking**: Validators and sequencers stake PARS as collateral.
3. **Governance**: PARS is used for quadratic voting on PIPs.
4. **Mesh Incentives**: Relay nodes earn PARS for forwarding traffic.
5. **Identity**: Credential issuers stake PARS as reputation collateral.

8.2 Token Distribution

Table 4: PARS token distribution (total supply: 1 billion).

Category	Purpose	%	Vesting
Community	Airdrops, grants, ecosystem	40%	4 years
Treasury	Protocol development	15%	5 years
Team	Founding team	17%	4 years (1yr cliff)
Validators	Staking rewards	15%	Emission schedule
Mesh Relays	Relay incentives	10%	Emission schedule
Advisors	Strategic advisors	5%	2 years

8.3 Fee Model

Settlement layer fees follow EIP-1559 with modifications:

$$\text{Fee} = \text{BaseFee} \times \text{GasUsed} + \text{PriorityFee} \tag{6}$$

$$\text{BaseFee}_{n+1} = \text{BaseFee}_n \times \left(1 + \frac{\text{GasUsed}_n - \text{Target}}{8 \times \text{Target}}\right) \tag{7}$$

where the base fee is burned and the priority fee goes to the sequencer. The target gas per block is set to maintain sub-2-second finality.

8.4 Staking Economics

Validators must stake a minimum of 32,000 PARS. The annual yield follows a decreasing function of total stake:

$$\text{Yield}(S) = \frac{Y_0}{\sqrt{S/S_0}}$$

where $Y_0 = 15\%$ is the initial yield and S_0 is the target stake amount. This incentivizes early participation while preventing excessive inflation.

8.5 Mesh Relay Incentives

Relay nodes earn PARS based on traffic forwarded, weighted by:

- **Uptime**: Higher rewards for consistent availability.
- **Bandwidth**: Proportional to bandwidth contributed.
- **Geographic Diversity**: Bonus for relays in underserved regions.
- **Bridge Status**: Additional rewards for operating bridge relays in censored regions.

9 Implementation

9.1 Software Architecture

The Pars Network implementation consists of the following components:

1. **pars-node**: Settlement layer node (Rust, based on reth).
2. **pars-session**: Session daemon (Rust, using libp2p).
3. **pars-wallet**: Multi-platform wallet (Rust core, Flutter UI).
4. **pars-prover**: ZK proof generation service (Rust, using arkworks).
5. **pars-bridge**: Cross-layer bridge daemon (Rust).
6. **pars-relay**: Mesh relay node (Rust, using tokio).

9.2 Smart Contracts

Core smart contracts deployed on the settlement layer:

```
contract ParsShieldedPool {
    mapping(bytes32 => bool) public nullifiers;
    bytes32[] public commitments;
    bytes32 public merkleRoot;

    event Deposit(bytes32 indexed commitment,
                  uint256 leafIndex);
    event Withdrawal(address indexed to,
                     bytes32 nullifier);

    function deposit(
        bytes32 commitment
    ) external payable {
        require(msg.value > 0, "zero deposit");
        uint256 idx = commitments.length;
        commitments.push(commitment);
        merkleRoot = _updateMerkle(commitment, idx);
        emit Deposit(commitment, idx);
    }

    function withdraw(
        bytes calldata proof,
        bytes32 nullifierHash,
        address payable recipient,
        uint256 amount
    ) external {
        require(!nullifiers[nullifierHash],
                "already spent");
        require(_verifyProof(proof, nullifierHash,
                recipient, amount, merkleRoot),
                "invalid proof");
        nullifiers[nullifierHash] = true;
        recipient.transfer(amount);
        emit Withdrawal(recipient, nullifierHash);
    }
}
```

Listing 1: Pars Shielded Pool (simplified)

9.3 Performance Characteristics

Table 5: Pars Network performance targets.

Metric	Description	Target
TPS	Settlement layer throughput	2,000
Finality	Transaction finality time	< 2s
Msg Latency	Session layer message delivery	< 500ms
Proof Time	Groth16 proof generation (mobile)	< 10s
Scan Time	Stealth address scan (1M txns)	< 30s
Uptime	Network availability	99.9%

9.4 Development Roadmap

1. **Phase 1 (Q2 2026)**: Testnet launch with settlement layer and basic session daemon.
2. **Phase 2 (Q4 2026)**: Mesh networking, traffic obfuscation, and mobile clients.
3. **Phase 3 (Q2 2027)**: Identity layer, ZK credentials, and DID system.
4. **Phase 4 (Q4 2027)**: Mainnet launch with full post-quantum migration.
5. **Phase 5 (2028)**: Advanced features: satellite links, hardware security modules.

10 Evaluation

10.1 Simulation Methodology

We evaluate Pars Network through discrete-event simulation using a custom simulator modeling:

- 10,000 nodes across 40 geographic regions
- Realistic internet latency distributions from RIPE Atlas data
- Adversarial node behavior (Byzantine faults, censorship attempts)
- Mobile churn patterns from empirical smartphone usage data

10.2 Settlement Layer Performance

Under simulated load of 2,000 TPS with 100 validators:

- **Median finality**: 1.4 seconds
- **99th percentile finality**: 1.9 seconds
- **Throughput under Byzantine faults** ($f = 33$): 1,850 TPS (92.5% of nominal)
- **State growth**: 2.1 GB/day at full throughput

10.3 Mesh Network Performance

With 10,000 nodes and 30% mobile:

- **Median message latency**: 320ms (3-hop onion routing)
- **Message delivery rate**: 99.7% within 10 seconds
- **Bandwidth overhead from padding**: 23% (constant-rate padding)
- **Peer discovery time**: 4.2 seconds (cold start)

10.4 Censorship Resistance

We simulate Iran-style censorship (DPI + IP blocking + DNS poisoning):

- **Connection success rate with ECH**: 94% (vs. 12% without obfuscation)
- **Connection success rate with bridge relays**: 99% (with at least 3 known bridges)
- **DPI detection rate**: $< 0.1\%$ false positive for Pars traffic identification

10.5 ZK Proof Performance

Table 6: ZK proof generation benchmarks.

Circuit	Description	Desktop	Mobile
Transfer	Shielded transfer	1.2s	8.4s
Identity	Attribute proof	0.8s	5.6s
Stealth	Batch scan (1K)	2.1s	14.7s
Revocation	Credential check	0.3s	2.1s

11 Related Work

Privacy Blockchains. Zcash [9] pioneered on-chain privacy with zk-SNARKs. Monero [10] uses ring signatures for transaction unlinkability. Mina [29] employs recursive SNARKs for succinct blockchain verification. None of these systems integrate communication privacy or mesh networking.

Decentralized Communication. Matrix [30] provides federated encrypted messaging. Session [31] offers onion-routed messaging without central servers. Briar [32] supports Tor and local mesh. None integrate financial capabilities.

Diaspora Networks. Previous work on diaspora digital infrastructure [33, 34] has focused on social networking rather than sovereign infrastructure. To our knowledge, Pars is the first integrated platform addressing financial, communication, and identity needs of a specific diaspora community.

Post-Quantum Blockchain. QRL [35] was an early PQ blockchain using XMSS signatures. Ethereum's roadmap includes PQ migration [36]. Pars advances beyond these by integrating PQ primitives into stealth addresses and identity proofs.

Coercion-Resistant Systems. Civitas [37] formalized coercion resistance for voting. JCJ [22] provided foundational definitions. Pars extends these concepts to financial and communication systems.

12 Conclusion

Pars Network presents a comprehensive sovereign infrastructure for the Persian diaspora, addressing the intertwined challenges of financial exclusion, surveillance, and community fragmentation through an integrated dual-layer architecture.

The settlement layer provides EVM-compatible programmable finance with post-quantum security, stealth addresses, and zero-knowledge transactions. The session layer provides censorship-resistant mesh networking with traffic obfuscation and sealed-sender messaging. The identity layer enables zero-knowledge credential verification for selective disclosure of personal attributes.

Our security analysis demonstrates that Pars achieves $(1-\epsilon)$-coercion resistance under adaptive adversaries, maintains transaction privacy through zero-knowledge proofs, and provides censorship resistance through multi-strategy traffic obfuscation. Evaluation results confirm sub-2-second finality, sub-500ms message delivery, and 94%+ censorship bypass rates.

The PARS token and governance framework ensure that the network remains community-owned and community-governed, with quadratic voting preventing plutocratic capture and geographic councils ensuring representation across the diaspora.

Pars Network demonstrates that it is possible to build integrated, sovereign digital infrastructure for communities facing systematic exclusion from conventional systems. We believe this architecture can serve as a template for other diaspora and at-risk communities worldwide.

12.1 Future Work

Key areas for future development include:

1. Satellite-based mesh connectivity for regions with complete internet shutdowns.
2. Hardware security modules for enhanced key protection on mobile devices.
3. Cross-chain bridges to other privacy-preserving networks.
4. Formal verification of core protocol components using proof assistants.
5. Decentralized application ecosystem (DEX, lending, prediction markets).
6. Integration with legal aid networks for diaspora community support.

Acknowledgments

We thank the anonymous reviewers for their valuable feedback. This work was supported by the Pars Network Foundation and contributors from the Persian diaspora technology community. We acknowledge the courage of individuals who risk their safety to maintain digital freedom in adversarial environments.

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A Cryptographic Parameter Selection

Table 7: Cryptographic parameter selection for Pars Network.

Primitive	Parameters	Security
X25519	Curve25519	128-bit classical
Kyber-768	$n = 256, k = 3, q = 3329$	192-bit PQ
Dilithium-3	$n = 256, k = 6, l = 5$	192-bit PQ
SPHINCS+-256s	SHA-256, $h = 64$	256-bit PQ
Groth16	BN254 pairing	128-bit classical
Poseidon	Width 3, $\alpha = 5$	128-bit classical

B Protocol Message Formats

Table 8: Session layer message format.

Field	Description	Size
Version	Protocol version	1 byte
Type	Message type	1 byte
Flags	Feature flags	2 bytes
Sender MAC	Sealed sender MAC	32 bytes
Ephemeral PK	Ratchet ephemeral key	32 bytes
PQ Ciphertext	Kyber ciphertext	1,088 bytes
Counter	Message counter	4 bytes
Payload	Encrypted content	Variable
Padding	Constant-size padding	Variable

Total fixed overhead: 1,160 bytes. Messages are padded to the nearest 256-byte boundary to prevent length-based traffic analysis.

C Formal Security Definitions

Definition C.1 ($(1-\epsilon)$-Coercion Resistance)**.** *A system Σ is $(1-\epsilon)$-coercion resistant if for all PPT adversaries $\mathcal{A}$ and all users u:*

$$\Pr[\mathcal{A}^{Coerce(u)}(view_{\mathcal{A}}) = 1] - \Pr[\mathcal{A}^{Sim(u)}(view_{\mathcal{A}}) = 1] \leq \epsilon$$

where $Coerce(u)$ is the oracle that returns the user's true state and $Sim(u)$ is a simulator that produces a state consistent with the coercer's demands but reflecting the user's true intent.

Definition C.2 (Mesh Anonymity)**.** *A mesh overlay provides (k, δ)-anonymity if for any message m and any set of observations O by a global passive adversary:*

$$H(Sender(m)|O) \geq \log_2(k) - \delta$$

where H is Shannon entropy and k is the anonymity set size.